

CONTRACT EXECUTION AND ENFORCEABILITY UNDER NIGERIAN LAW: THE LEGAL SIGNIFICANCE OF PROPERLY EXECUTED AGREEMENTS



1. Introduction

In commercial transactions, significant attention is often given to the substantive terms of a contract. Parties negotiate rights, obligations, liability provisions, termination clauses, dispute resolution mechanisms, and risk allocation frameworks. However, one of the most common causes of contractual disputes does not arise from poor drafting. It arises from poor execution.

In practice, businesses frequently enter into commercial arrangements on the basis of unsigned agreements, partially executed contracts, or documents that have not been properly completed by the parties. In many disputes, the central issue is not what the contract says, but whether the contract can be relied upon at all.

A well-drafted agreement may become difficult to enforce where questions arise regarding its authenticity, adoption, or execution. For this reason, contract execution should not be viewed as a mere administrative formality. It is a fundamental component of legal risk management.

2. Why Contract Execution Matters

When a dispute reaches the courts, one of the first questions that arises is whether the agreement before the court is the document that the parties genuinely intended to adopt.

Execution serves an important evidential function. It provides proof that the parties accepted the terms of the agreement and intended to be bound by them. Proper execution also reduces the likelihood of disputes concerning the authenticity, completeness, or validity of the document.

In essence, execution enhances the legal reliability of a contract and strengthens its enforceability.

3. Common Execution Risks in Commercial Transactions

Many contractual disputes stem from avoidable execution errors. Common examples include:

- a) Failure of one or more parties to sign the agreement;
- b) Incorrect identification of contracting parties;
- c) Execution by individuals who lack authority to bind a company;
- d) Incomplete witness details;
- e) Missing dates or execution pages; and
- f) Failure to adequately authenticate all pages of the agreement.

These issues often remain unnoticed during the commercial relationship and only become significant when a dispute arises.

4. Key Considerations for Proper Contract Execution

- a) Ensure the Correct Legal Parties Execute the Agreement: The parties identified in the contract should correspond with the parties that execute it. Where a company is a contracting party, the execution clause should clearly indicate that the company is executing the agreement through an authorised representative rather than in the individual's personal capacity.

Similarly, where a business name is involved, the agreement should be executed by the proprietor or authorised owner of the business, since a business name does not possess a separate legal personality.

- b) Confirm Authority to Sign: Parties should verify that the individual signing on behalf of a company possesses the requisite authority to bind the organisation. Under Nigerian corporate practice, execution by an unauthorised person may create uncertainty regarding the validity of the agreement and may expose the transaction to internal or external challenges.

Appropriate authority may arise from the company's constitutional documents, board resolutions, delegated authority frameworks, or the nature of the signatory's office.

- c) Properly Complete Witness Details: Witness information should not be treated as an afterthought. Accurate witness names, signatures, and contact details may enhance the evidential value of a document and assist in establishing authenticity where execution is subsequently challenged.
- d) Sign or Initial Every Page: Although not always a legal requirement, signing or initialling every page of an agreement remains a prudent commercial practice. Although not always a legal requirement, signing or initialling every page of an agreement remains a prudent commercial practice. Doing so reduces the likelihood of allegations that pages were inserted, removed, altered, or substituted after execution. In contentious disputes, parties frequently

challenge the integrity of the document itself. A fully signed or initialled agreement makes such challenges significantly more difficult to sustain.

5. The Evidential Significance of Proper Execution

The importance of execution extends beyond contract formation. It also affects the evidential weight that may be attached to a document in litigation.

Under the Nigerian Evidence Act 2011, parties relying on documentary evidence must establish the authenticity and relevance of the documents they seek to tender. A properly executed agreement provides stronger evidence that the document originated from, and was adopted by, the parties concerned.

Accordingly, execution should be viewed not merely as a contractual requirement but also as a litigation-readiness measure.

6. Conclusion

For founders, executives, and business owners, the practical lesson is straightforward: execution is an essential aspect of legal risk management.

The effectiveness of a contract depends not only on the quality of its drafting but also on the integrity of its execution process. Businesses should therefore exercise the same level of diligence when executing agreements as they do when negotiating their terms.

A well-drafted contract protects legal interests. A properly executed contract protects the ability to enforce those interests when they matter most.

At C. Egwu Law Firm, we regularly advise clients on both contract drafting and execution processes, helping businesses minimise legal risk across investment transactions, commercial partnerships, employment relationships, and long-term service arrangements.

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